

Member ID: _____

Time: _____

Rank: _____



Fundamental Accounting

(100)

NATIONAL 2025

CONCEPT KNOWLEDGE:

Multiple Choice (40 @ 2 points each) _____ (80 points)

APPLICATION KNOWLEDGE:

Short Answer (16 @ 3 points each) _____ (48 points)

Job 1: Depreciation _____ (30 points)

Job 2: Inventory Costing _____ (41 points)

Job 3: Effects on Net Income _____ (60 points)

TOTAL POINTS _____ ***(259 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

The test is divided into two parts, and you **MUST** complete both parts. You will have 90 minutes to complete your work.

PART ONE Instructions: Concept Knowledge

1. Open Google Chrome and navigate to compete.bpa.org.
2. Click on the Secondary Division Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

PART TWO: Application Knowledge

Complete the questions in the rest of this test booklet by filling in the PDF.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. With prices rising, which inventory method results in the highest net income?
 - A. FIFO
 - B. Weighted Average
 - C. LIFO
 - D. Units of Production
2. Which of the following represents a contra account?
 - A. Purchases Discount
 - B. Capital Stock
 - C. Unearned Rent
 - D. Interest Income
3. For a corporation with a net loss, which of the following is the correct closing entry?
 - A. Debit Income Summary, Credit Capital
 - B. Credit Capital, Debit Income Summary
 - C. Debit Income Summary, Credit Retained Earnings
 - D. Debit Retained Earnings, Credit Income Summary
4. Recording annual depreciation expense in 2025 on an asset that was bought in 2023 is an example of what accounting concept?
 - A. Consistent Reporting
 - B. Matching Expenses with Revenue
 - C. Realization of Revenue
 - D. Full Disclosure
5. Under what section of the Statement of Cash Flows would you find buying equipment?
 - A. Investing
 - B. Operations
 - C. Purchasing
 - D. Financing
6. If an asset is bought on January 5th, which depreciation method always results in the highest depreciation expense for the 1st year of the asset?
 - A. Straight Line
 - B. Units-of-Production
 - C. MACRS
 - D. Double-declining Balance

7. Which section of the Cash Flows Statement would include issuing capital stock?
 - A. Investing
 - B. Operating
 - C. Purchasing
 - D. Financing
8. Which of the following would result in a higher net income?
 - A. Lower Ending Inventory
 - B. Lower Net Sales
 - C. Higher Net Purchases
 - D. Lower Beginning Inventory
9. Which of the following is an intangible asset?
 - A. Prepaid Utilities
 - B. Patent
 - C. Unearned Rent
 - D. Accumulated Depreciation
10. What is the calculation to determine a corporation's P/E ratio?
 - A. Market price per share divided by earnings
 - B. Par value of stock divided by earnings
 - C. Market price per share divided by earnings per share
 - D. Par value of stock divided by earnings per share
11. Cash received for goods or services which have not yet been provided is a _____.
 - A. prepaid expense
 - B. deferred expense
 - C. deferred revenue
 - D. deferred asset
12. The formula to calculate simple interest on a note is _____.
 - A. $\text{principal} \times \text{rate} / 360$
 - B. $\text{principal} + \text{rate} \times 360$
 - C. $\text{principal} \times \text{rate} / \text{time}$
 - D. $\text{principal} \times \text{rate} \times \text{time}$
13. How often does a business pay unemployment tax to the federal government?
 - A. Weekly
 - B. Monthly
 - C. Quarterly
 - D. Annually

14. How often must a publicly traded corporation pay dividends?
- A. Monthly
 - B. Quarterly
 - C. Annually
 - D. A corporation is not required to pay dividends.
15. The source document used to journalize a customer's return of merchandise is known as a _____.
- A. Purchase invoice
 - B. Sales invoice
 - C. credit memorandum
 - D. debit memorandum
16. How long would you amortize a patent for that has a legal life of 15 years and an expected life of 10 years?
- A. 5 years
 - B. 10 years
 - C. 15 years
 - D. 25 years
17. Receiving cash from an international customer for the value of a time draft results in a debit to what account?
- A. Cash
 - B. Accounts Receivable
 - C. Time Draft Receivable
 - D. Sales
18. When a partner withdraws supplies from a business, what is the resulting transaction?
- A. Dr Capital, Cr Supplies
 - B. Dr Drawing, Cr Supplies
 - C. Dr Supplies Expense, Cr Supplies
 - D. Dr Capital, Cr Cash
19. What classification of stock gives owners priority right to dividends?
- A. Equity
 - B. Preferred
 - C. Treasury
 - D. Common
20. What is a disadvantage to the corporate form of ownership structure?
- A. Double taxation
 - B. Limited liability
 - C. Limited government regulation
 - D. Ease of raising needed capital

21. Employers must furnish a Form W-2 to each employee annually by _____.
A. January 31
B. March 31
C. April 15
D. April 30
22. Which of the following is considered a liquidity ratio?
A. Return on Sales
B. Return on Equity
C. Current Ratio
D. Debt Ratio
23. What section of the Income Statement appears for a retailer but not for a service business?
A. Revenue
B. Operating Expenses
C. Cost of Goods Sold
D. Net Income
24. Working capital =
A. current assets + current liabilities
B. current assets – current liabilities
C. current assets x current liabilities
D. current assets / current liabilities
25. If a partner invests cash of \$2,500 and a computer that originally cost the partner \$1,500 but now has a market value of \$900, how much would you credit the partner's Capital account?
A. \$2,500
B. \$3,400
C. \$4,000
D. \$4,900
26. When selling a gift card to a customer, the business will record a debit to Cash, and a credit to _____.
A. a revenue account
B. an expense account
C. a cost of goods account
D. a liability account

27. Beginning Merchandise Inventory = \$364,800; a final count of merchandise showed a balance on hand on December 31st of \$341,300. The adjusting entry for merchandise would include a debit to _____.
- A. Merchandise Inventory of \$23,500
 - B. Merchandise Inventory of \$341,300
 - C. Income Summary of \$23,500
 - D. Income Summary of \$341,300
28. Which of the following accounts will be included on a Post-Closing Trial Balance?
- A. Prepaid Rent
 - B. Rent Expense
 - C. Dividends
 - D. Interest Income
29. Under what section of the Statement of Cash Flows would you find a payment of cash on account?
- A. Investing
 - B. Operations
 - C. Purchasing
 - D. Financing
30. Buying a plant asset on August 20th, 2025, would result in how many months of depreciation being recorded for 2025?
- A. 4
 - B. 5
 - C. 6
 - D. 7
31. Unearned Fees has a debit balance.
- A. True
 - B. False
32. Prepaid Insurance has a debit balance.
- A. True
 - B. False
33. Interest Expense has a credit balance.
- A. True
 - B. False
34. Preferred Stock appears on the Statement of Stockholders' Equity.
- A. True
 - B. False

35. Fees Revenue appears on the Balance Sheet.
A. True
B. False
36. Accumulated Depreciation appears on the Balance Sheet.
A. True
B. False
37. Capital Stock – Common appears on both the Balance Sheet and the Statement of Stockholders' Equity.
A. True
B. False
38. Dividends is a Liability account.
A. True
B. False
39. Sales Discount is a Revenue account.
A. True
B. False
40. Federal Income Tax Payable is a Liability account.
A. True
B. False

Short Answer Problems – 48 points

1. Oak Industries has the following age of its accounts receivables at the end of the year. Below each is the estimated percentage that will be uncollectible for each bracket. The Allowance for Uncollectible Accounts has a debit balance of \$625 before adjustments.

<u>Account</u>	<u>Balance</u>	<u>Current</u>	<u>1-30</u>	<u>31-60</u>	<u>Over 60</u>
Total	\$82,610	\$57,920	\$18,744	\$1,846	\$4,100
Percentage		0.5%	1.5%	20%	50%

- a. What is the total estimated uncollectible accounts? _____
- b. What account will be debited on the adjusting entry? _____
- c. What account will be credited on the adjusting entry? _____
- d. What is the amount of the end of the year adjusting entry? _____

2. Maple Furniture Inc. shows the following financial data for 2025.
 Beginning Capital Stock – 40,000 shares, \$10 par value; total \$400,000
 Issued on May 15th – 10,000 shares, \$10 par value @ \$12 per share; total \$120,000
 Beginning Retained Earnings - \$297,365
 Net Loss for 2025 - \$24,120
 Dividends declared during 2025 - \$0.25 per share, January 15th and April 15th; \$0.15 per share on July 15th and October 15th.
 - a. How much did Maple Furniture declare in dividends for 2025? _____
 - b. What is the net decrease in Retained Earnings for 2025? _____
 - c. What is the ending balance of Retained Earnings? _____
 - d. Balance of Stockholders' Equity shown on the Balance Sheet _____

3. Kim Chung and Andrea Lopez own Birch Nursery, a partnership. During 2025, Birch Nursery shows a net income of \$147,640. The partnership agreement shows a profit/loss split of 60% for Chung, and 40% for Lopez.
 - a. What is the net income split for Chung? _____
 - b. What is the net income split for Lopez? _____

4. On November 21st, 2025, Spruce it Up, Inc. signs a 90-day, 6.15%, \$4,500 note with State Bank. Find the following for Spruce it Up, Inc.:
 - a. Account(s) debited on November 21st _____
 - b. Account(s) credited on November 21st _____
 - c. Maturity date of the note _____
 - d. Interest Expense for 2025 _____
 - e. Total interest on the note _____
 - f. Maturity value of the note _____

Job 1 – Depreciation – 30 points

Directions: Use the following information to complete depreciation table for both the straight line and double-declining balance methods of depreciation.

Sycamore Plumbing buys two plant assets during 2025. The 1st is a piece of equipment bought on January 9, 2025, for \$10,000. The equipment has a five-year life with a salvage value of \$1,000.

	Straight Line			Double-declining Balance		
Equipment	Annual Depreciation	Accumulated Depreciation	Ending Book Value	Annual Depreciation	Accumulated Depreciation	Ending Book Value
2025						
2026						
2027						
2028						
2029						

Job 2 – Inventory Costing – 41 points

Willow Electronics shows the following beginning inventory and purchases for 2025. Use FIFO, LIFO, and Weighted Average to find the cost of ending inventory.

Directions for FIFO Table 1: Find the Total Cost for beginning inventory and each purchase in the table below. Using the ending inventory quantity of 72, determine FIFO units on hand and FIFO cost. Total the units purchased, total cost, FIFO units and FIFO cost columns. Show the total FIFO cost at the bottom of the page.

Purchase Dates	Units Purchased	Unit Price	Total Cost	FIFO Units On Hand	FIFO Cost
Jan 1 beginning inventory	38	7.65			
Feb 18 purchase	42	8.14			
May 30 purchase	50	8.98			
Sept 14 purchase	45	9.21			
Dec 6 purchase	40	9.50			
Totals					

Directions for LIFO Table 2: Find the Total Cost for beginning inventory and each purchase in the table below. Using the ending inventory quantity of 72, determine LIFO units on hand and LIFO cost. Total the units purchased, total cost, LIFO units and LIFO cost columns. Show the total LIFO cost at the bottom of the page.

Purchase Dates	Units Purchased	Unit Price	Total Cost	LIFO Units On Hand	LIFO Cost
Jan 1 beginning inventory	38	7.65			
Feb 18 purchase	42	8.14			
May 30 purchase	50	8.98			
Sept 14 purchase	45	9.21			
Dec 6 purchase	40	9.50			
Totals					

Directions for Weighted Average: Using the information from the tables above, find the ending inventory cost using the weighted average method. Complete the table below showing the total cost using each inventory costing method.

Method	FIFO	LIFO	Weighted Average
Total Ending Inventory Cost			

Job 3 – Effects on Net Income – 60 points

Directions: Selected transactions for Pear Repair, Inc. are shown below. Analyze each transaction and its effect on the 2025 Income Statement. Complete the table on the next page, determining whether the effect of each transaction is an increase to net income, a decrease to net income, or has no effect on net income **for the year 2025**. Then identify the amount of the increase or decrease. If there is no effect, enter zero.

1. April 15 – Paid Federal Income, Social Security, and Medicare tax liabilities for the month of March. The total amounted to \$3,725.
2. April 30 – Issued 100 shares of common stock, \$10 par value, for \$12 per share.
3. June 25 – Purchased equipment with a \$24,000 cost, paying cash in full. The equipment has a useful life of 5 years, with a salvage value of \$2,000. Pear Repair uses the straight-line method of depreciation.
4. August 24 – Performed repairs for Julian Sanchez worth \$630, plus 7.5% sales tax. Terms of sale were 2/10, n/30.
5. September 1 – Received cash from Julian Sanchez on account to pay what was owed from the August 24th sale.
6. September 30 – Declared a dividend of \$1.25 per share. Pear Repair has 25,500 shares of stock issued and outstanding.
7. October 6 – Paid the payroll. Total earnings are \$6,680; Deductions include Federal Tax at an average of 18.2%, Social Security Tax of 6.2% and Medicare Tax of 1.45%.
8. October 6 – Recorded employer payroll taxes on the payroll from the prior entry. The Federal Unemployment tax rate is 0.8%, and the State Unemployment tax rate is 5.4%. Earnings subject to unemployment tax are \$1,250.
9. October 30 – Paid the dividend declared on September 30th.
10. November 11 – Received a 90-day, 5.5% promissory note from Kelsey Clayton for past-due accounts receivable in the amount of \$3,450.
11. November 30 – Received bankruptcy notice on Sam Aikens. Sam had a \$680 accounts receivable balance. Pear Repair uses the Allowance method of Accounts Receivable.
12. December 1 – paid \$4,000 for December rent.
13. December 1 – Purchased 3-month insurance policy for \$3,000.
14. December 1 - Performed repair services for Jamonica Wales worth \$765, plus 7.5% sales tax. Jamonica paid cash at the time of the services.
15. December 30 – Received \$7,500 cash for repair work which will be done in the first two weeks of January 2026.

Transaction Number	Effect on Net Income - Increase, Decrease, None	Amount of Effect
1		
2		
3		
4		
5		
6		
7		
8		
9		
10		
11		
12		
13		
14		
15		